ANALYTIST MEMO

TO: Head of Growth & Head of Seller Operations

FROM: Chung Yok

DATE: April 23, 2026

SUBJECT: 2023–2024 TradeZone Performance Review & 2025 Planning Strategy

Executive Summary

TradeZone experienced significant acquisition growth across major Nigerian markets between 2023 and 2024, potential profitability is currently being suppressed by serious operational problems in seller fulfillment leading to declining conversion rates. An early fix ahead of the 2025 planning cycle, leadership must immediately shift focus from acquisition marketing to enforcing strict seller performance standards and maintaining high-value customer segments.

Key Findings

1. **High Acquisition Does Not Equal High Conversion (From Query 1)**
   - **Data Point:** Among the 5 states for new customer sign-ups in 2024 (led by Lagos and Abuja), the 30-day conversion rate is concerningly low, averaging only **39.48**% across these regions.
   - **Business Impact:** This trend indicates a huge problem in the customer acquisition process. Money is being spent heavily to bring users onto the platform across Nigeria, but the vast majority left the platform before making their first purchase within the 30-day window. This wastes marketing spend.
2. **Fulfillment Speed is the Primary Driver of Seller Ratings (From Query 3 and 7)**
   - **Data Point:** The top 20 sellers completed orders in an average of **100.53** hours and maintained an average customer rating of 3.6. On the other hand, the platform's overall rating is being dragged down by slower sellers, and Query 7 proves that "Low Rated" products (below 3.0) account for only **85,846,320.55** in total revenue despite high visibility.
   - **Business Impact:** Customer retention is directly attached to trust and delivery reliability. When sellers take too long to fulfill orders, it results in negative reviews. Because highly rated products drive the majority of platform revenue. If slow and low-rated sellers remain active they will eventually water down TradeZone's overall sales potential.
3. **Retention Priority (From Query 5)**
   - **Data Point:** The "High Spenders" segment (customers spending ≥ ₦100,000 in 2024) makes up over **77%** of the total customer base, and contributes **₦417,098,017.96**, representing the lion's share of total revenue.
   - **Business Impact:** If a tiny fraction of these High Spenders is lost due to the operational problems mentioned above, the financial impact on the business will be severe.

Recommendations

- **Implement a Strict Seller Fulfillment Service Level Agreement**
  - **Action:** Enforce a maximum 48-hour dispatch rule for all active sellers. Sellers who consistently fail to meet this threshold over a 30 day period should have their product listings deprioritized in the search algorithm.

- **Responsible:** Head of Seller Operations.
- **Expected Outcome:** By filtering out inefficient sellers, a 15% improvement in average fulfillment speeds is expected and a subsequent rise in overall platform review ratings within 60 to 90 days.

- **Launch a Targeted 30-Day "First Purchase" Campaign**
  - **Action:** Reallocate 20% of the acquisition budget into a targeted email and push notification campaign. Offer a limited time discount (e.g., free shipping) exclusively to new signups, if they check out within their first 14 days.
  - **Responsible:** Head of Growth.
  - **Expected Outcome:** Improved 30 day conversion rate for new signups by at least 10% within 60 days, improving marketing ROI and motivating dormant accounts into active buyers.

Data Quality Notes

During the data preparation phase (Part A), a thorough cleaning process was executed to standardize the dataset and ensure accuracy for analysis. Two significant issues were addressed:

1. **Mismatch in Order Totals:** Several records were flagged where the total_amount in the main orders table did not match the sum of its respective line_total in the order_items table by a difference greater than 10.

   Decision: The differences were flagged for exclusion from revenue calculations.

   Impact if wrong: If the flagged records were actually legitimate discounts rather than errors, excluding them would mean that total calculated revenue across queries (like Q4 and Q5) are understated.

2. **Invalid Review Ratings:** The dataset contained reviews outside the valid 1 – 5 range.

   Decision: The invalid review records were compressed into the 1 – 5 range (e.g., -1 to 1 and 7 to 5).

   Impact if wrong: With the range being compressed, it still carries the weight of the review importance, no information was lost.

What the Data Cannot Tell Us

One business question the leadership team might ask is: **"Why are so many new users dropping off before making a purchase within their first 30 days?"**.

The current relational database only keeps track of transactional outcomes (what they bought, when they bought it), but it lacks behavioral context. To answer this, I would need access to the app or web usage pattern data to see exactly how the users interact with the site or app, what features are more popular and which are being ignored.